

US Expansion Decision Using Pilot Market Evidence

SCMA-642

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Why Richmond for the Pilot?

Real U.S. data confirms Richmond as a manageable, accurate market simulation.

Buying Power

Median Income: \$72,620 (Richmond) vs \$74,580 (U.S.). Nearly identical purchasing power.

Cultural Diversity

Diversity Immigrant share: 12% vs 14% national avg. Similar gifting preferences & buying patterns.

Corporate Ecosystem

Strong B2B gifting representation: Capital One, Dominion Energy, CarMax, Altria, Owens & Minor.

Retail Presence

Accurate retail reflection: 5 TJ Maxx, 3 Target stores, and active boutique clusters (Carytown).

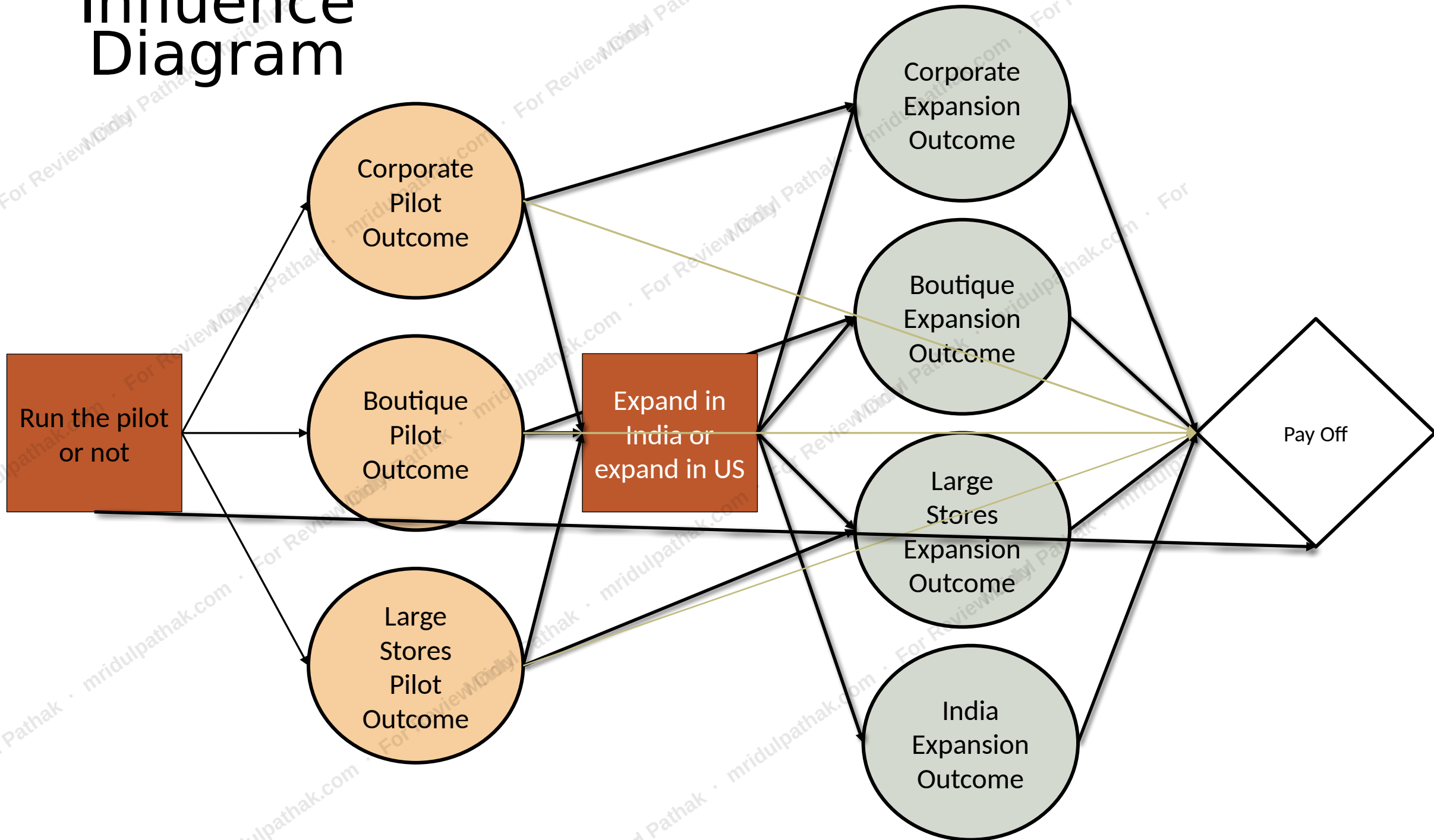


CONCLUSION: RICHMOND PROVIDES A SCALED-DOWN SIMULATION OF THE U.S. MARKET, IDEAL FOR TESTING BEFORE FULL ROLLOUT.

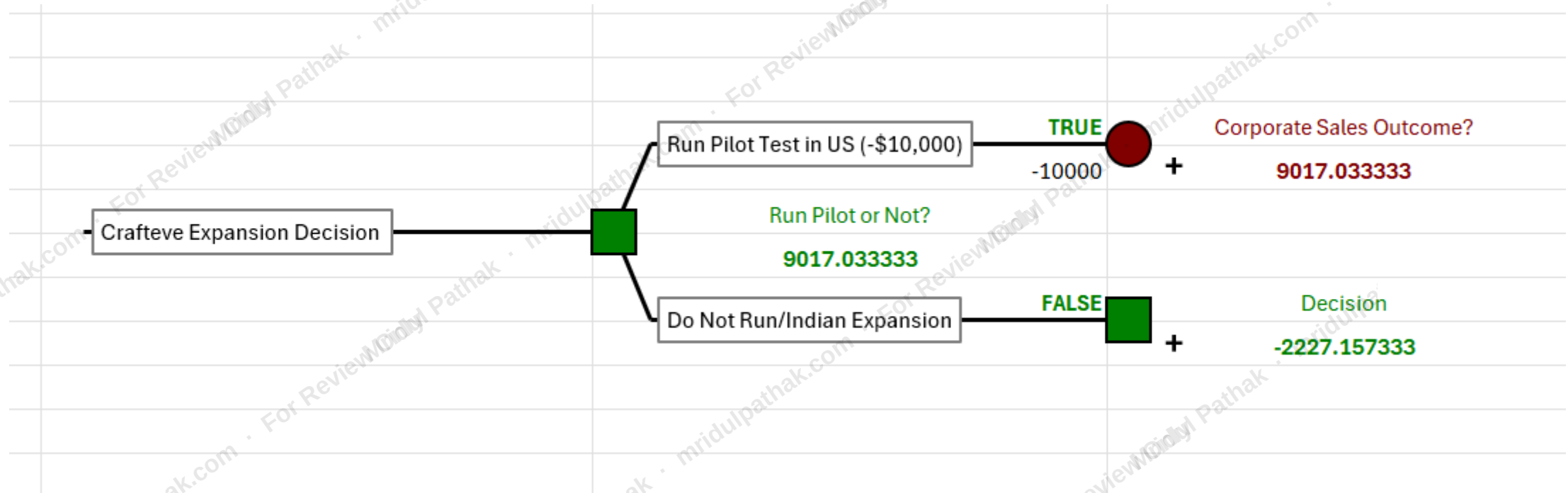
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Influence Diagram

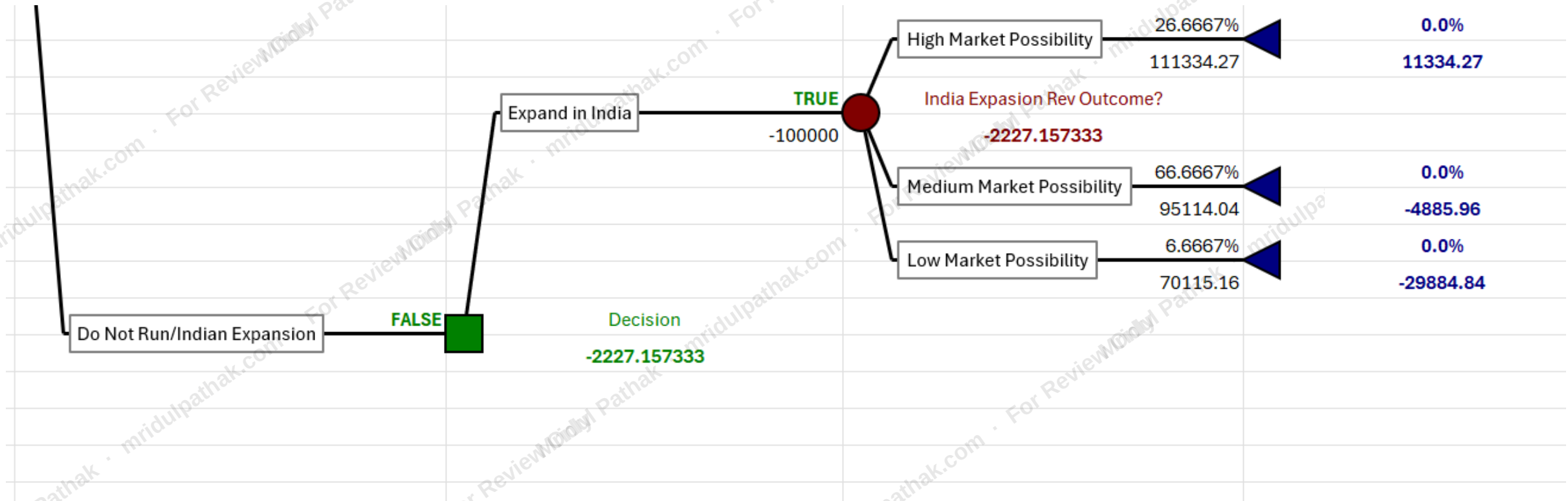


Main Decision



No Pilot Test

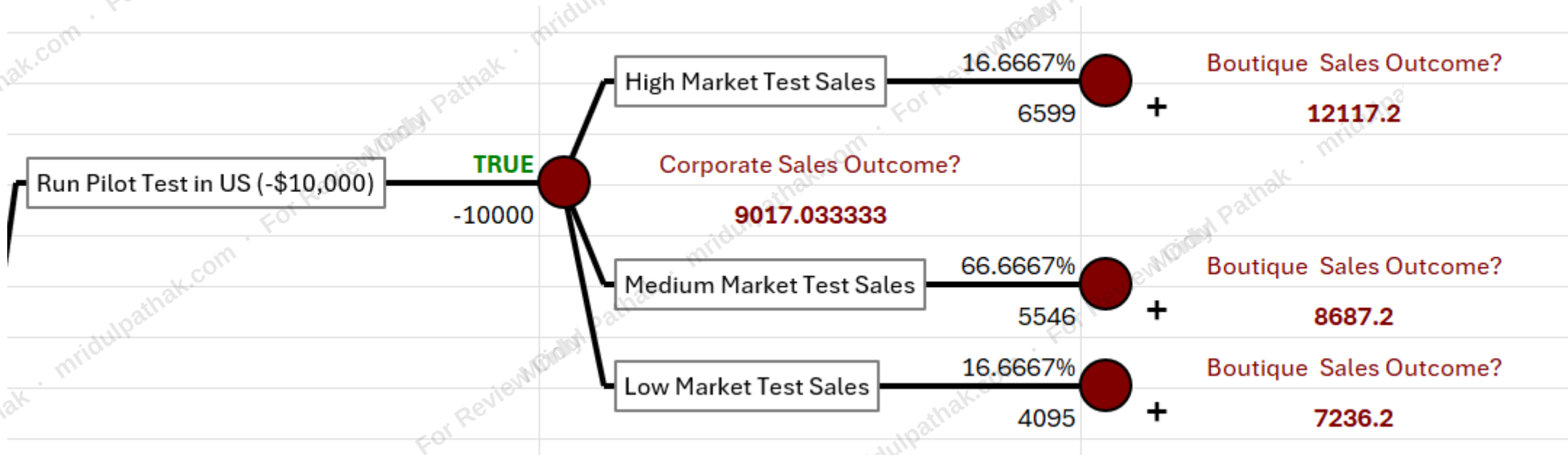
(\$-100,000)



Run Pilot Test

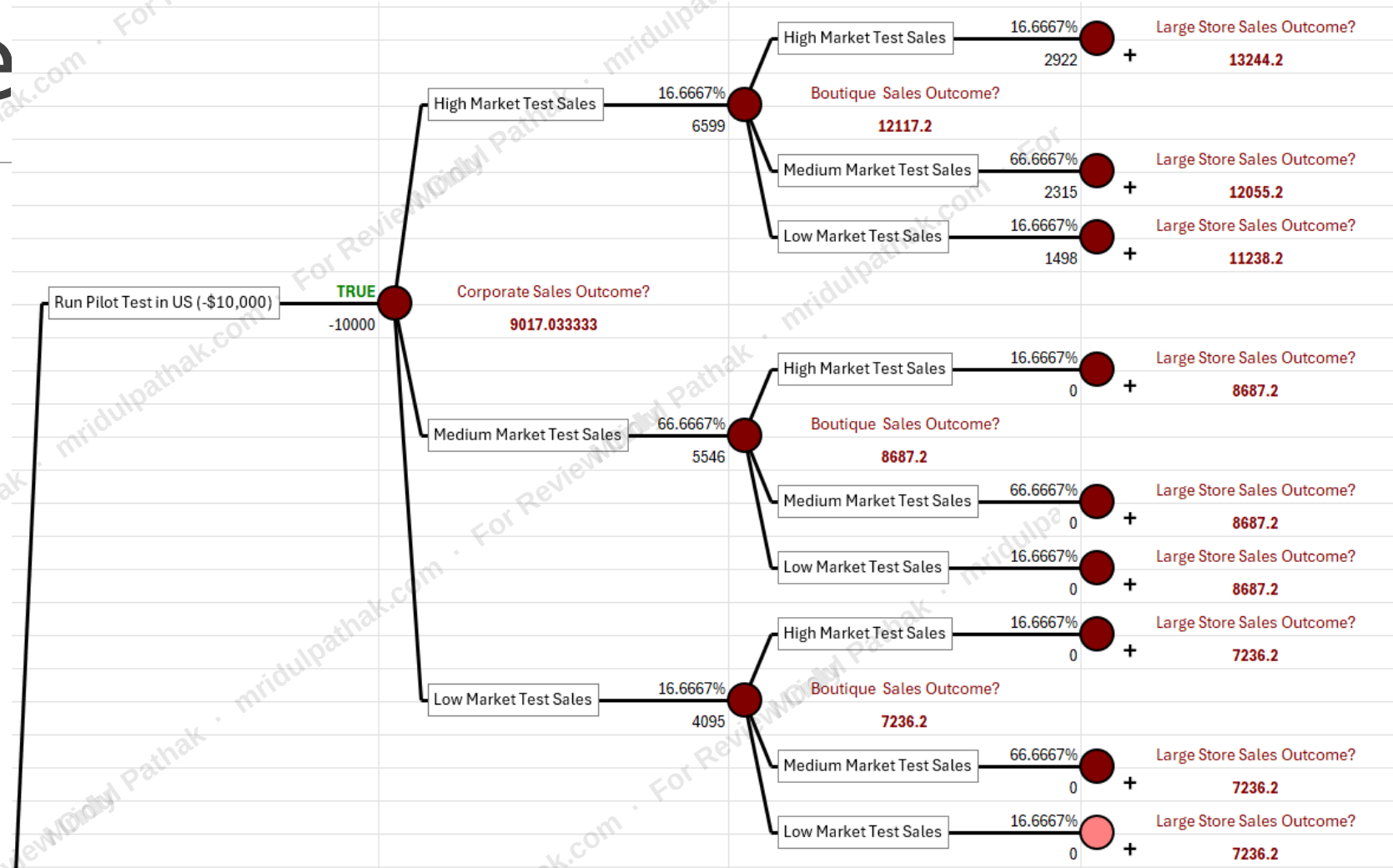
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1. Corporate Revenue



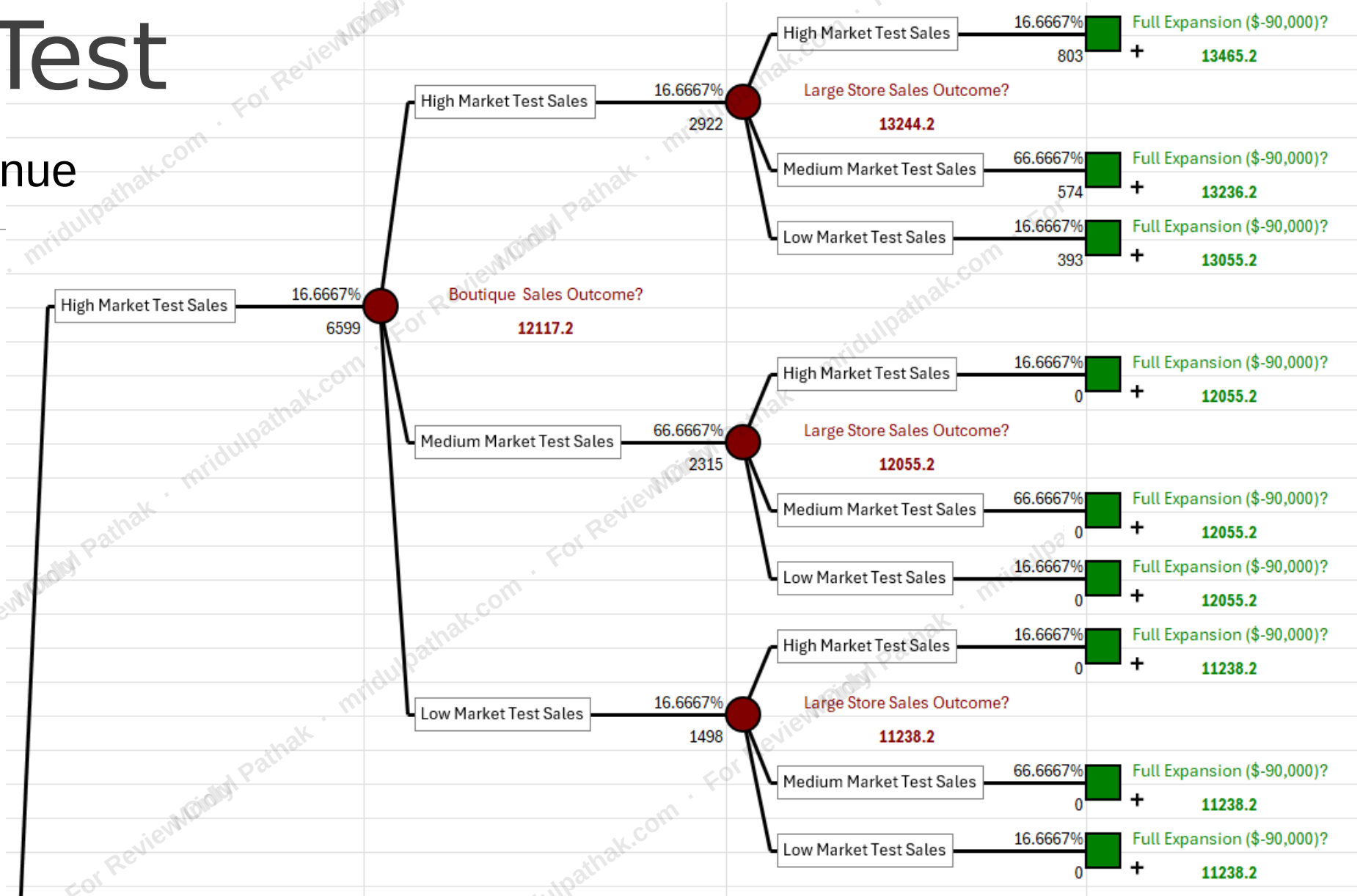
Run Pilot Test

2. Boutique Revenue



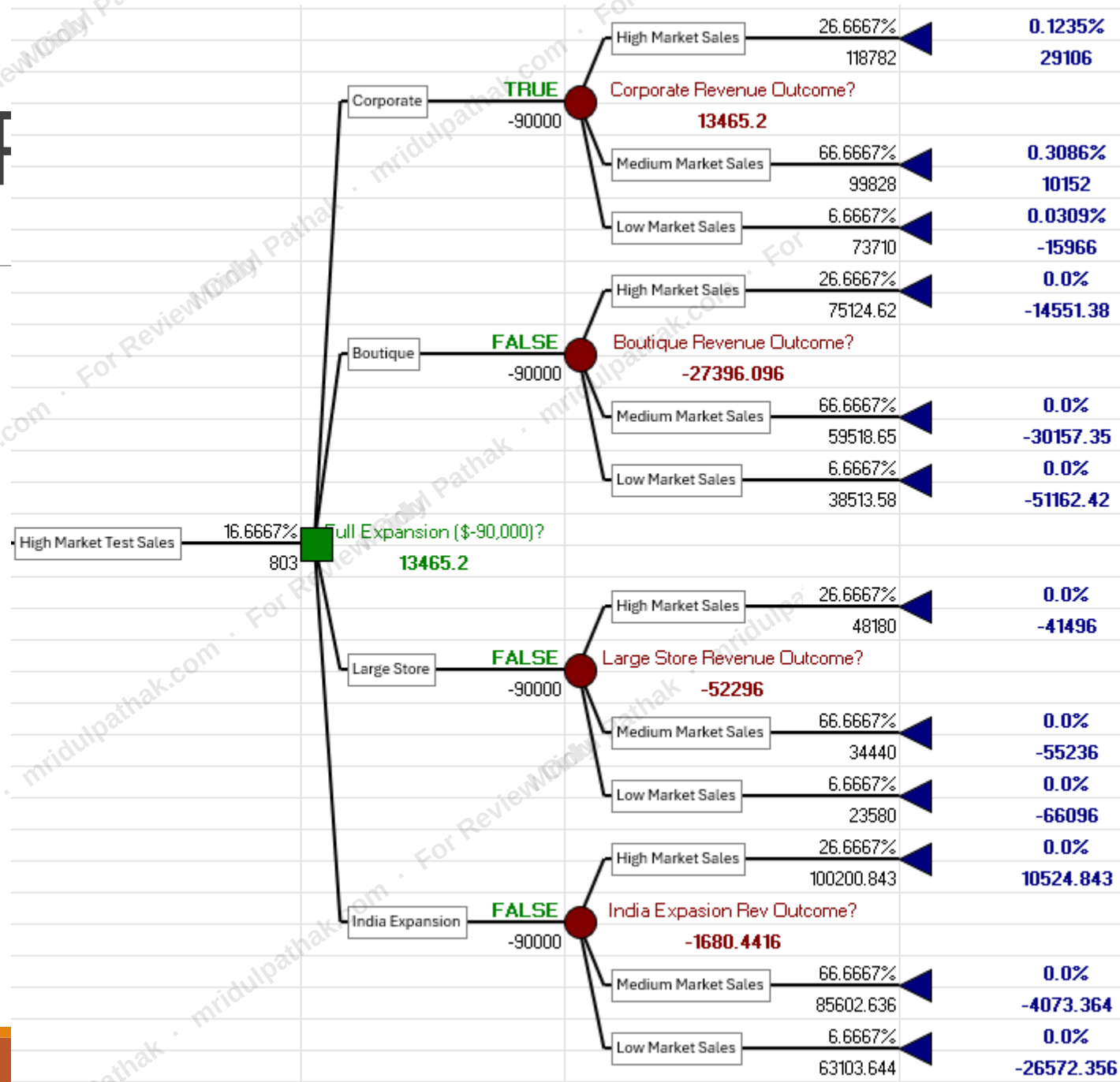
Run Pilot Test

3. Large Stores Revenue



Expansion After F

(\$-90,000)



Data

India Expansion – Payoff Table							
Category	SKU	Units (Pilot)	Cost per Unit (USD)	Price per Unit (USD)	Column6	Revenue (Medium)	Profit per Unit (USD)
India Expansion	Wooden Chess	297	16.85	18.54	2507	46460	1.685
India Expansion	Wooden Card Box	311	11.23	12.36	2624	32439	1.123
India Expansion	Wooden Puzzle	172	8.7	9.27	1450	13432	0.562
TOTAL (Medium)	-	-	-	-	6581	92331	

[illegible]

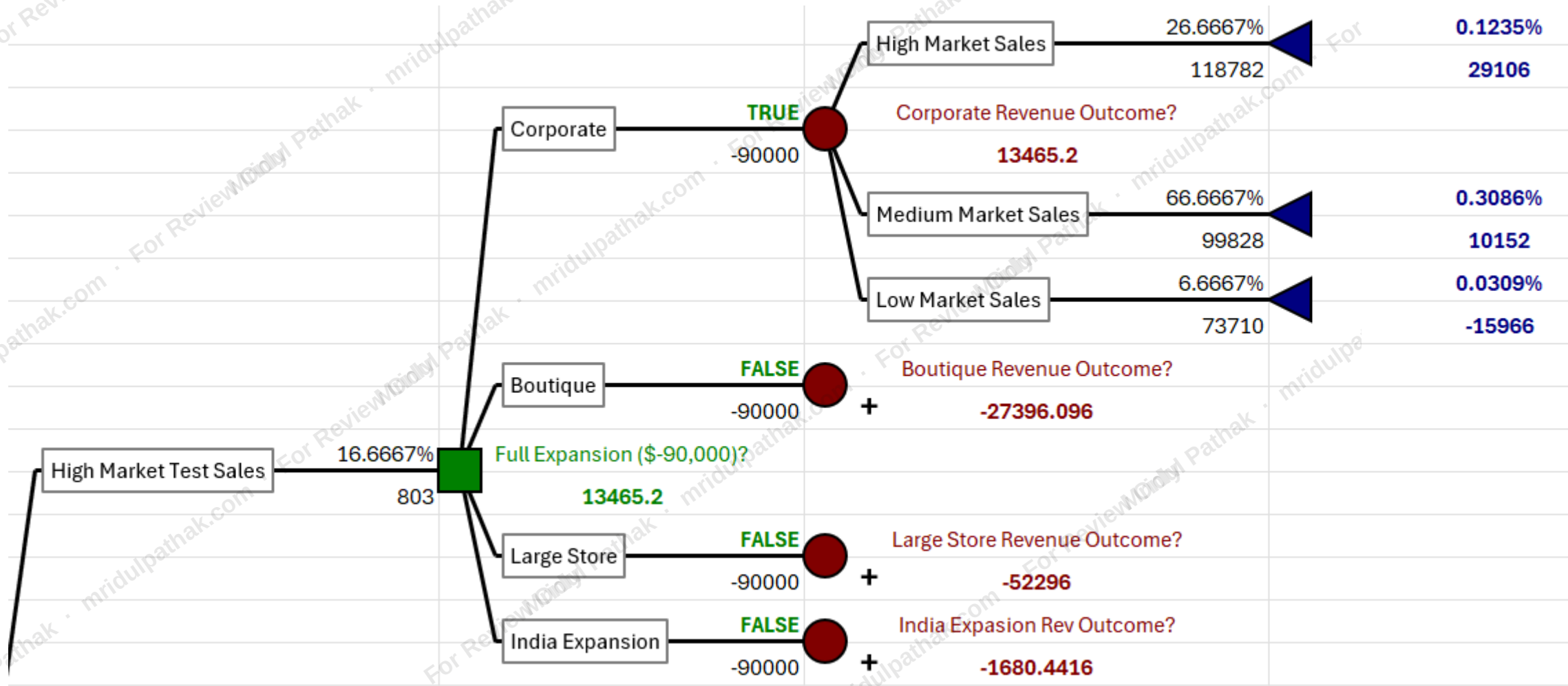
Channel	Product	Units as per Pilot (US Export)	India Manufacturing Cost	Total Product Cost
Corporate	Chess	80	16.85	1348
Corporate	Card Box	64	11.23	718.72
Corporate	Puzzle	50	8.7	435
Retail	Chess	60	16.85	1011
Retail	Card Box	40	11.23	449.2
Retail	Puzzle	35	8.7	304.5
Large Stores	Chess	30	16.85	505.5
Large Stores	Card Box	16	11.23	179.68
Large Stores	Puzzle	10	8.7	87
			Total Product Cost	5038.6
			Tariff and other duties (US Export)	2519.3
			Transportation Cost (US Export)	2438.202247
			(US Pilot Final Cost =	9996.102247

Data

Units Low	Units Exp	Units High	Rev Low	Rev Exp	Rev High	Profit Low	Profit Exp	Profit High
48	64	76	2400	3200	3800	1008	1344	1596
35	48	57	945	1296	1539	280	384	456
25	35	42	750	1050	1260	350	490	588
24	36	45	960	1440	1800	264	396	495
14	22	28	308	484	616	42	66	84
10	17	22	230	391	506	70	119	154
9	13	18	279	403	558	18	26	36
4	6	8	80	120	160	4	6	8
2	3	5	34	51	85	2	3	5
			5986	8435	10324	2038	2834	3422

Channels	Low	Med	High
Corporate Rev (3SKUs)	4095	5546	6599
Boutique Rev (3SKUs)	1498	2315	2922
Large Stores Rev (3SKUs)	393	574	803

Final Recommendation



Final Recommendation

- **Run Pilot Test** – positive EV
- **Expand Corporate Gifting Channel** – best EV
- Do NOT Expand Boutique or Large Stores
- Deprioritize India Expansion

Crafteve should Run the Pilot and Fully Commit to Corporate Expansion as its primary U.S. market entry strategy. This recommendation maximizes Expected Value, minimizes downside risk, and positions the company for scalable, profitable growth.

Decision Clarity

The question is not about breaking even, it's about incremental value.

Thank You!

Any Questions?